## MODEL QUESTIONS

YMO67

### Part-A

**Multiple Choice Questions**

1. The RBI Headquarters is located at

(a) Delhi
(b) Chennai
(c) Mumbai
(d) Bengaluru

2. Money is

(a) acceptable only when it has intrinsic value
(b) constant in purchasing power
(c) the most liquid of all assets
(d) needed for allocation of resources

3. Paper currency system is managed by the

(a) Central Monetary authority
(b) State Government
(c) Central Government
(d) Banks

4. The basic distinction between $M_1$ and $M_2$ is with regard to .

(a) post office total deposits
(b) saving deposits with post office savings bank
(c) Terms deposits of banks
(d) currency

5. Irving Fisher's Quantity Theory of Money was popularized in

(a) 1908
(b) 1910
(c) 1911
(d) 1914.

6. MV stands for

(a) demand for money
(b) supply of legal tender money
(c) Supply of bank money
(d) Total supply of money

7. Inflation means

(a) Prices are rising
(b) Prices are falling
(c) Value of money is increasing
(d) Prices are remaining the same

8. _____ inflation results in a serious depreciation of the value of money.

(a) Creeping
(b) Walking
(c) running
(d) Hyper

9. _____ inflation occurs when general prices of commodities increases due to increase in production costs such as wages and raw materials.

(a) Cost-push
(b) demand pull
(c) running
(d) galloping

10. During inflation, who are the gainers?

(a) Debtors
(b) Creditors
(c) Wage and salary earners
(d) Government



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